crore. A 5 per cent loss on realized equity balance of Rs 2.6 lakh crore as on 30 June 2020 was over Rs 11,000 crore. The government would have saved this much if it had borrowed less, equal to surplus retained as savings by RBI.

So, even when you take into account investment of accumulated capital as ‘national savings’, the nation loses a minimum Rs 11,000 crore and a maximum Rs 75,000 crore. Clearly, it is a national waste, not national savings, when RBI retains its surplus.

RBI Capital Framework was a Bad Deal for the Government

RBI needs no capital for its monetary, banking and foreign exchange policies and regulation. Retained profits yield excessively poor returns. Therefore, whether functionally or from an investment perspective, retaining surplus is an unnecessary and poor policy option.

Almost all profits RBI makes come from the discharge of the sovereign function of currency issuance: the difference in the returns earned on currency reserve assets and the cost of printing and managing currency. The governing law makes it abundantly clear that RBI will have capital of only Rs 5 crore and all surpluses would be transferred to the government.

Yet, the RBI has successfully manoeuvred to keep Rs 15 lakh crore of provisions with it; roughly Rs 12 crore of valuation provisions and Rs 3 lakh crore of cash realized surpluses.

The Bimal Jalan Committee again worked out a bad deal for the government. It used two stratagems to achieve this objective.

First, it took valuation reserves completely out of the government’s reach. The recommendation that if the required valuation reserves are less than the available valuation reserves, the excess, even if of durable nature, would not be available for distribution meant that accumulated profits in the form of valuation gains would not be available to the government as surplus.